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# Case Study: Hudson $675mm Notes Offering

*Priced May 7, 2024 | Updated as of Oct-26*

Hudson Automotive Group

# Case Study: Hudson Upsizes Notes Offering to Refinance Debt

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## $675mm 8yr Senior Unsecured Notes

- On 5/7/24, Hudson Automotive Group priced **$675mm** of 8yr **8.00%** Senior Unsecured Notes at par, which were upsized in-market from **$600mm**
- The deal was initially launched at **$600mm** with price talk of **8.25%**, but strong market demand allowed Hudson to upsize the offering to **$675mm** while also lowering the coupon to **8.00%**
- The proceeds of the offering combined with proceeds from a new syndicated credit facility will be used to refinance ~$1.4bn of existing debt and purchase $44mm of real estate from Redwood Holdings
- The bonds were marketed with 2023 Adj. EBITDA of ~$300mm and approximately **2.4x** secured leverage and **4.7x** total leverage
- S&P Global Ratings expects leverage to remain around **4.5x** over the next few years as margins normalize and the steady pace of acquisitions continues
- Moody's forecasts pro forma debt to EBITDA will improve to around **4.25x** as a full year of acquisitions is realized and cost discipline is maintained

| Final Terms | 2032 Notes |
|---|---|
| Pricing Date | May 7, 2024 |
| Issuer | Cougar JV Subsidiary, LLC |
| Corporate Ratings | B+ / Ba3 |
| Bond Ratings | B+ / B2 |
| Issue | Senior Unsecured Notes |
| Amount | $675mm |
| **Maturity**<br>*Call* | **May 2032**<br>*8yr NC3* |
| **Coupon**<br>*Spread vs US Treasuries* | **8.000%**<br>*(T + 353 bps)* |
| **Yield to Worst (8/6/26)**<br>*Spread vs US Treasuries* | **6.200%**<br>*(T + 192 bps)* |

*Ratings: S&P / Moody's at pricing.*



*Sources: Publicly available information from Latham & Watkins, Moody's, and S&P Global Ratings*